

STANDARD OPERATING PROCEDURE

Cycle Count Process – LEGRAND

FM Logistic | Warehouse Management System (CloudSuite WMS)

Document Title	Cycle Count Process SOP – Legrand
Department	Warehouse / Inventory Management
Prepared By	FM Logistic – Inventory Team
Applicable System	Infor CloudSuite WMS
Facility	PRD_BHIWANDI_WMWHSE2
Review Frequency	Annual / As Required

1. Purpose

This Standard Operating Procedure (SOP) defines the process for conducting Cycle Counts at the Legrand warehouse managed by FM Logistic. It ensures inventory accuracy, smooth warehouse operations, and timely identification and resolution of stock discrepancies.

2. Scope

This SOP applies to all warehouse staff involved in inventory management, including:

- Inventory Supervisors / Inventory In-Charge
- Counting Team members (RF device operators)
- Warehouse Management System (WMS) users

3. Definitions

Term	Definition
Cycle Count	A regular, systematic process of counting a small portion of inventory each day instead of a full annual physical count.
WMS	Warehouse Management System (Infor CloudSuite WMS) used to manage inventory and tasks.
RF Device	Radio Frequency handheld scanner (Honeywell device) used by counting team to perform physical counts.
SKU	Stock Keeping Unit – a unique identifier for each product stored in the warehouse.
Pure Excess SKU	A SKU found at a location that does not belong to the current cycle count location.

RCA	Root Cause Analysis – a method used to identify the underlying cause of inventory discrepancies.
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4. Roles & Responsibilities

Role	Responsibilities
Inventory In-Charge / Supervisor	Plan daily cycle count, create and release tasks in WMS, oversee counting, review reports, perform RCA, resolve discrepancies, and share daily report with management.
Counting Team (RF Operators)	Log in to RF device, navigate to assigned locations, physically count stock, enter quantities in the system, and report discrepancies to the supervisor.

5. Daily Target & Planning

5.1 Cycle Count Target – ABC Classification (Year 2026)

Cycle count targets at the National Warehouse (Legrand) are defined based on ABC item classification. Each class is counted a different number of times per year based on its movement and criticality. The targets are as follows:

Parameter	Class A	Class B	Class C	Total
No. of Item Class (ABC)	568	948	6,563	8,079
No. of Times Cycle Count Required in a Year	3	2	1	–
Required Cycle Count SKUs	1,704	1,896	6,563	10,163
Monthly Target SKUs	142	158	547	847
Per Day Target SKUs	5	6	21	33

NOTE: The combined per day target is 33 SKUs (5 Class A + 6 Class B + 21 Class C). Class A items are counted 3 times per year, Class B twice, and Class C once, reflecting their criticality and movement frequency.

5.2 Cycle Count Planning

The Inventory In-Charge / Supervisor plans the daily cycle count based on ABC classification. SKUs are distributed across three shifts with three dedicated teams. Each team is assigned specific SKU locations aligned to their class (A/B/C) to ensure the daily target of 33 SKUs is met systematically.

- Class A SKUs (5/day): High-priority items counted 3 times/year. Assigned preferably to the most experienced counting team.
- Class B SKUs (6/day): Medium-priority items counted 2 times/year. Distributed evenly across shifts.

- Class C SKUs (21/day): Standard items counted once per year. Form the bulk of daily count activity.

5.3 Task Assignment

The Supervisor creates cycle count tasks in the WMS system for the dedicated team, ensuring each location is aligned to its ABC class target. This ensures that all specific locations are tracked, monitored, and completed on time, supporting accurate inventory records and smooth operations.

6. Cycle Count Task Creation (Supervisor – WMS)

Follow the steps below to create and assign cycle count tasks in the system:

1. Log in to CloudSuite WMS using your User ID and password.
2. Navigate to the Facility menu and select PRD_BHIWANDI_WMWHSE2.
3. Follow the navigation path:
WMS → Execution → Cycle Count → Count Request
4. Once the Cycle Count Request screen opens, click New and press Enter to open the task creation form. Fill in the required details:
 - Owner (Start & End): LEGRAND
 - Location Start: e.g., H35010101
 - Location End: e.g., H35300702
 - Priority: 1 – Highest Priority
 - Include Empty Locations: Check if required
5. Click Save to save the request.
6. To release the task so it is visible on RF devices, follow the path:
WMS → Execution → Cycle Count → Release
7. On the Release Cycle Count screen, click Action → Create Tasks.
8. A pop-up will appear asking for confirmation. Click OK to create the tasks.
9. You can verify the created tasks by navigating to the Task option in WMS.

NOTE: The supervisor's role during counting is to conduct regular rounds to ensure that counting is being performed correctly and as per the defined process.

7. Physical Count Process (Counting Team – RF Device)

Once tasks are created, the supervisor informs the counting team to begin the cycle count as per the planned aisle. The counting team follows the steps below:

10. Pick up the RF device (Honeywell) and log in to the system using your User ID and password.
11. From the WMS Main Menu, navigate to Task Manager.
12. Select Standard from the Task Manager menu.
13. From the Area and Task screen, select CC – Cycle Count in the Task dropdown and press Enter.

14. The Cycle Count screen will display the location number assigned for counting.
15. Go to the physical location shown on the RF screen. Verify that the SKU matches the one displayed. Check if any other SKUs are present at the location and segregate them for proper counting.
16. Count the physical stock at the location.
17. On the RF device, scan the check digit barcode (CKDG field), enter the counted quantity in the Qty field, and press Enter.
18. If the physical count matches the system quantity, a pop-up will show: Count = System. Press Enter to confirm and proceed to the next location (GEN NEXT TASK).

8. Handling Quantity Mismatch

If the physical count does not match the system quantity, an error message (Count Discrepancy) will appear on the RF screen. Follow the steps below:

- Recheck the physical quantity at the location to verify the accuracy of the first count.
- If a discrepancy is confirmed, re-enter the corrected quantity in the RF device.
- Upon entering the corrected quantity, a confirmation pop-up will appear (similar to a matched count).
- If the error persists after re-entering the rechecked quantity, exit the current task and proceed to the next location/task.
- Report the mismatch details to the Inventory Supervisor for further investigation and necessary system updates.

9. Handling Pure Excess SKU

If a SKU is found at a location that does not belong to the current cycle count location (Pure Excess SKU), follow the steps below:

- Record the details in the Excess Sheet: SKU code, quantity, location, and remarks.
- Remove the identified stock from the respective location.
- Inform the Supervisor immediately about the excess stock found.
- Place the removed stock in the dedicated excess area as instructed by the Supervisor.
- Ensure the Excess Sheet is signed by both the Counter and the Supervisor for record purposes.

NOTE: No stock movement should be done without Supervisor intimation and proper record entry.

10. Supervisor Review & Reporting

10.1 Downloading the Cycle Count Report

After counting is complete, the supervisor downloads the Cycle Count Report from WMS. Navigation path:

WMS → Reports → Report → Search: *Cycle Count* → Select: Legrand Cycle Count Report

10.2 Reviewing the Report

- Open the report and check the Matched and Error status for all counted locations.
- For any locations with errors, the Supervisor physically re-verifies the location and recounts the stock.
- Compare the re-count result with the first count:
 - If the re-count matches the first count – take appropriate action based on short or excess stock:
 - If stock is SHORT → Move the difference quantity to the Short Location.
 - If stock is EXCESS → Check if the same SKU is available in the Short Location:
 - If YES → Move the difference from Short Location to the Physical Location.
 - If NO → Remove the excess quantity and place it in the designated area (H40 aisle).
 - If the re-count aligns with the system quantity – no further action is needed; the stock is matched.

10.3 Root Cause Analysis (RCA) & Reporting

- After resolving all errors, perform a Root Cause Analysis (RCA) to identify the reason for discrepancies.
- Share the RCA findings with concerned teams to prevent recurring errors.
- Prepare and share the daily cycle count report with management as per the daily reporting process.

11. Process Flow Summary

#	Step	Responsible
1	Plan cycle count aisle and assign teams for each shift	Inventory Supervisor
2	Create Count Request in WMS (Count Request screen)	Inventory Supervisor
3	Release tasks in WMS (Release screen → Create Tasks)	Inventory Supervisor
4	Log in to RF device and navigate to Task Manager → Standard → CC	Counting Team
5	Go to assigned location, verify SKU, segregate excess SKUs if any	Counting Team
6	Count physical stock, scan check digit, enter quantity in RF	Counting Team
7	Confirm matched count (Count = System) or handle mismatch	Counting Team
8	Handle Pure Excess SKU – fill Excess Sheet, inform Supervisor	Counting Team
9	Download Legrand Cycle Count Report from WMS	Inventory Supervisor
10	Review Matched/Error status; re-count error locations	Inventory Supervisor

11	Resolve discrepancies (Short/Excess stock actions)	Inventory Supervisor
12	Perform RCA and share with teams; submit daily report to management	Inventory Supervisor

12. Key Rules & Reminders

- The daily target of 33 SKUs must be met every working day (5 Class A + 6 Class B + 21 Class C), aligned to the annual ABC cycle count plan.
- Always plan and assign specific locations to each team before the shift begins.
- No stock movement is allowed without Supervisor knowledge and a proper record entry.
- All discrepancies, whether short or excess, must be reported immediately to the Supervisor.
- The Excess Sheet must be signed by both the Counter and Supervisor before any stock is moved.
- RCA must be performed for all discrepancies and shared with concerned teams to prevent recurrence.
- The daily cycle count report must be prepared and shared with management every day.